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An analyst gathers the following information about a company and its common stock:

Expected dividend per share (D_1)	\$2
Estimated dividend growth rate	4%
Return on equity	9%

Q1. Based on the Gordon growth model, if the required rate of return increases from 8% to 14%, the value of the stock decreases by:

- A. 50%.
- B. 60%.
- C. 75%.

Q2. Use of the asset-based valuation approach is most appropriate for a company with a high proportion of value attributed to:

- A. natural resources.
- B. business reputation.
- C. trademarks and patents.

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An analyst gathers the following information (in \$ millions) about two companies for the year just ended:

	Company X	Company Y
Operating income	10	12
Depreciation and amortization	2	1
Interest expense	1	3
Debt	50	60

Q3. Based on an assessment of leverage, Company X has:

- A. lower creditworthiness than Company Y.
- B. the same creditworthiness as Company Y.
- C. higher creditworthiness than Company Y.

Q4. With respect to the capital market line, the market portfolio is best described as the:

- A. optimal risky portfolio.
- B. portfolio that maximizes an investor's utility.

C. optimal combination of the risk-free asset and a portfolio of risky assets.

Q5. Compared with its market-value-weighted counterpart, a fundamental-weighted index is least likely to have a:

- A. value tilt.
- B. contrarian effect.
- C. momentum effect.

Q6. Valuing private equity investments using estimated prices rather than market prices most likely causes an:

- A. overestimation of both return volatility and the correlation of returns with traditional asset classes.
- B. underestimation of both return volatility and the correlation of returns with traditional asset classes.
- C. underestimation of return volatility and overestimation of the correlation of returns with traditional asset classes.

Q7. For an institutional investor, the investment committee's approach to appointing and reviewing investment managers for the portfolio is most likely set out during the:

- A. portfolio construction process.
- B. strategic asset allocation decision.
- C. preparation of the investment policy statement.

Q8. Financial forecasting using historical base rates and convergence is best suited for companies that are:

- A. in highly cyclical industries.
- B. in well-established industries.
- C. industry leaders by a wide margin.

Q9. An analyst will most likely put a "sell" recommendation on a stock when its:

- A. intrinsic value is positive.
- B. market value is higher than intrinsic value.
- C. market value is lower than fundamental value.

Q10. Which of the following is most accurate regarding arbitrage in financial markets? Arbitrage traders:

- A. rely primarily on fundamental valuation to identify arbitrage opportunities.

- B. earn returns in excess of those that would be fair compensation for the risk assumed.
- C. actively take advantage of profit opportunities in spot commodity markets when both storage and selling short become difficult.

Q11. The effective convexity of a bond is a measurement of the effect of a change in:

- A. horizon yield.
- B. the yield to maturity.
- C. a benchmark yield curve.

Q12. A 5% corporate bond makes annual coupon payments on 19 March of each year. If the bond is priced for settlement on 25 March at a yield-to-maturity of 5%, its flat price is:

- A. below par.
- B. par.
- C. above par.

Q13. Compared with public equity markets, which of the following statements is most accurate about private equity markets? Operating in the private market:

- A. allows more opportunities to raise capital.
- B. allows management to better adopt a long-term focus.
- C. offers stronger incentives to improve corporate governance.

Q14. Which of the following is used by clearinghouses to determine the gain and loss to the parties of a futures contract?

- A. Limit up and limit down
- B. Margin call
- C. Daily settlement

Q15. Which of the following asset-backed securities most likely utilizes credit tranching as a form of credit enhancement?

- A. Covered bond
- B. Credit card backed security
- C. Agency mortgage pass-through security

Q16. In an efficient market, it is more likely that fundamental value will be reflected in the:

- A. underlying spot market before the derivative market.

- B. derivatives market before the underlying spot market.
- C. derivatives market and the underlying spot market at the same time.

Q17. A benefit of risk budgeting is that it:

- A. forces risk trade-offs.
- B. provides risk oversight.
- C. defines an organization's risk tolerance.

Q18. Compared with unregulated markets, regulated markets are best characterized by:

- A. higher transaction costs.
- B. lower trading volumes.
- C. reduced arbitrage opportunities.

Q19. All else being equal, a cash dividend most likely has the same effect on shareholders' wealth as a:

- A. stock split.
- B. stock dividend.
- C. share repurchase.

Q20. The value of a swap contract at initiation is most likely equal to:

- A. zero.
- B. the present value of the fixed payments of the swap.
- C. average price of a series of forward contracts with each forward contract maturing at each swap payment date.

Q21. Which of the following is best categorized as a hard commodity?

- A. Cattle
- B. Lumber
- C. Crude oil

Q22. Compared to the market value of a company's equity, the book value of a company's equity is most likely:

- A. measured by net income multiplied by ROE.
- B. influenced more directly by management decisions.
- C. reflective of investors' expectations about the company's future cash flows

An analyst gathers the following information about a forward curve for one-year rates:

Time Period	Forward Rate
0y1y	0.60%
1y1y	1.05%
2y1y	2.90%
3y1y	2.69%

Q23. The three-year implied spot rate is closest to:

- A. 1.51%.
- B. 1.81%.
- C. 2.21%.

Q24. An equity portfolio manager is evaluating her sector allocation strategy for the upcoming year. She expects the global economy to experience a slowdown period for the next two years. Furthermore, she believes that companies will be facing diminishing growth rates with respect to revenues and profits. On the basis of these beliefs, the portfolio manager will most likely overweight:

- A. autos.
- B. materials.
- C. consumer staples.

Q25. If the expected return of a stock is 15%, the expected market return is 10%, and the risk-free rate is 2%, the beta of the stock is closest to:

- A. 1.30.
- B. 1.50.
- C. 1.63.

Q26. Which of the following involves a private equity firm introducing leverage to its portfolio company and paying itself a dividend out of the new capital structure?

- A. Venture debt
- B. Recapitalization
- C. Mezzanine loans

An investor gathers the following information about a European call option with 9 months until expiration:

Current stock price	\$112
Strike price of option	\$115
Current call option price	\$4
1-year risk free rate	2.5%

Q27. According to put-call parity, the current price of a put option with the same maturity and strike price is closest to:

- A. 3.11
- B. 4.2
- C. 4.89

Q28. A bond has an annual modified duration of 5.359, an annual convexity of 248.23, and is currently yielding 3.5%. If the bond's yield-to-maturity increases to 3.7%, the expected percentage price change is closest to:

- A. -1.02%.
- B. -0.97%
- C. 1.12%.

Q29. Direct ownership of commercial real estate most likely:

- A. provides greater liquidity than a real estate investment trust.
- B. requires a lower initial investment than a real estate investment trust.
- C. offers greater investor control over underlying properties than a real estate investment trust.

Q30. The returns of Asset 1 and Asset 2 are perfectly positively correlated. If the assets have the same standard deviation of returns, the covariance between the returns of the assets is equal to the:

- A. variance of Asset 1's returns.
- B. standard deviation of Asset 1's returns.
- C. variance of Asset 1's returns times the variance of Asset 2's returns.

Q31. During times of severe market turmoil, the risk reduction from portfolio diversification most likely:

- A. decreases.
- B. remains the same.

C. increases.

Q32. Which of the following statements regarding forward contracts is most accurate?

- A. The value of a short forward contract is the spot price minus the forward price at expiration
- B. The value of a long forward contract increases as the spot price of the underlying increases
- C. The forward price is the spot price compounded at the risk premium over the life of the contract

Q33. An example of nonsystematic risk is a(n):

- A. failure of a drug trial.
- B. increase in the overall rate of inflation.
- C. change in the central bank's interest rate policy.

Q34. Which of the following alternative investment categories most likely provides exposure to capital-intensive, long-lived assets that provide essential public services?

- A. Infrastructure
- B. Venture capital
- C. Commercial real estate

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An analyst gathers the following information about a float-adjusted market-capitalization-weighted index composed of three stocks:

Stock	Shares Outstanding	% of Shares in Market Float	Price
1	8,500	100	\$42
2	10,000	75	\$69
3	4,000	100	\$95

Q35. Stock 1's weighting in the index is closest to:

- A. 20.4%.
- B. 25.0%.
- C. 28.5%.

Q36. According to put-call-forward parity, a long put and a short call is equal to:

- A. a long bond and a short forward.
- B. a short bond and a long forward.

C. a short bond and a short forward.

Q37. Which of the following cognitive errors is best classified as a belief perseverance bias?

- A. Availability bias
- B. Confirmation bias
- C. Mental accounting bias

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A limit order book (in € per share) has the following order prices:

Bids	Asks
-	48.20
-	48.00
47.85	-
47.70	-

Q38. A sell order is behind the market at a price of:

- A. €47.70.
- B. €48.00.
- C. €48.20.

Q39. Which of the following most likely accounts for most of the long-term changes in a portfolio's value?

- A. Beta
- B. Alpha
- C. Security selection

Q40. Which of the following statements is most accurate? Hedge funds:

- A. may be invested entirely in traditional assets.
- B. typically invest in early-stage companies with high growth potential.
- C. typically pursue leveraged buyouts of established profitable and cash-generating companies.

An analyst gathers the following information about three companies and their common shares:

	Company 1	Company 2	Company 3
Market price per share	\$34	\$12	\$56
Book value of shareholders' equity (in millions)	\$452	\$302	\$98
Number of shares outstanding (in millions)	45	105	12

Q41. Which company has the lowest price-to-book value per share?

- A. Company 1
- B. Company 2
- C. Company 3

Q42. In contrast to life insurers, property and casualty insurers most likely:

- A. invest their general account assets in fixed-income securities.
- B. accept investments with lower returns in their general account.
- C. target a higher return in the surplus account than in the general account.

Q43. A Eurodollar bond is:

- A. denominated in USD.
- B. sold to US investors at issuance.
- C. underwritten by a syndicate of US-based banks.

Q44. Which of the following statements about market efficiency is most accurate? In a:

- A. weak-form efficient market, technical analysis generates abnormal returns over the long run.
- B. semi-strong-form efficient market, active portfolio managers outperform the market on a consistent basis.
- C. strong-form efficient market, insiders would not be able to earn abnormal returns from trading on private information

Q45. The type of developed market bond that most likely has the greatest risk of default is a:

- A. revenue bond.
- B. sovereign bond.

C. general obligation bond.

Q46. An increase in which of the following most likely increases the time value of a European put option?

- A. The volatility of the underlying only
- B. The current market interest rate only
- C. Both the volatility of the underlying and the current market interest rate

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An investor gathers the following information about a portfolio and the risk-free asset:

Average portfolio return	8.50%
Portfolio standard deviation of returns	16.00%
Portfolio beta	1.10
Risk-free asset return	1.75%

Q47. The portfolio's Sharpe ratio is closest to:

- A. 0.06.
- B. 0.42.
- C. 0.53.

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An investor holds a bond with the following characteristics:

Yield to maturity	10%
Modified duration	5.7

Q48. If the duration gap is zero, the investment horizon is closest to:

- A. 5.2 years.
- B. 5.7 years.
- C. 6.3 years.

Q49. The behavioral bias that best describes investors reacting slowly to new information is:

- A. conservatism bias.
- B. narrow framing bias.

C. representativeness bias.

Q50. A bond's price sensitivity to a non-parallel shift in the benchmark yield curve is best measured by:

- A. key rate duration.
- B. effective duration.
- C. modified duration

Q51. Which of the following financial intermediaries most likely buy and sell similar instruments at different prices in different markets?

- A. Dealers
- B. Brokers
- C. Arbitrageurs

Q52. An investor buys a call for \$24.70 that has a strike price of \$650. If the value at expiration for this call is \$47.60, the price of the underlying at expiration is closest to:

- A. \$602.40.
- B. \$672.90.
- C. \$697.60.

Q53. Prior to expiration, an at-the-money option most likely trades:

- A. below intrinsic value.
- B. at intrinsic value.
- C. above intrinsic value.

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An investor has gathered the following data for a common stock.

Earnings per share, most recent year	\$2.50
Dividend payout ratio, most recent year	60%
Dividend growth rate expected during years 1 & 2	25%
Dividend growth rate expected after year 2	5%
Investors' required rate of return	12%

Q54. Using the two-stage dividend discount model, the value per share of this common stock is closest to:

- A. \$28.57.
- B. \$31.57.
- C. \$38.70.

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An analyst gathers the following information about a company and its perpetual preferred stock:

Growth rate in earnings	2%
Annual preferred dividend	€4.70
Required rate of return on preferred shares	8%

Q55. The preferred stock's intrinsic value is closest to:

- A. €58.75.
- B. €78.33.
- C. €79.90.

Q56. You are preparing an investment policy statement for a client who manages her own successful marketing consultancy. Her annual income is approximately \$500,000. She describes herself as a finance novice. Most of her savings are invested in bank term deposits and short-term government securities. In her responses to the standard risk assessment questionnaire, she strongly agrees with the statements that she "feels more comfortable putting money in a bank account than in the stock market." Also, she "thinks of the word 'risk' as being a 'loss'". Based on this information, your client's ability and willingness to take risk can best be described as:

- A. low ability and high willingness.
- B. high ability and willingness.
- C. high ability and low willingness.

Q57. A \$100,000,000 par value bond has a value of \$88,500,000 and an annual modified duration of 7.75. If the yield-to-maturity decreases by 100 basis points, the change in value is closest to:

- A. -\$6,858,750.
- B. \$6,858,750.
- C. \$7,750,000.

Q58. If a portfolio consists of two risky assets and the portfolio's standard deviation is equal to the weighted average of the assets' standard deviations, the assets' returns are:

- A. perfectly negatively correlated.

- B. uncorrelated.
- C. perfectly positively correlated

Q59. Cryptocurrencies can be issued by:

- A. individuals only.
- B. corporations and organisations only.
- C. individuals, corporations and organisations.

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An analyst gathers the following information about a bond:

Price	Yield-to-Maturity (%)
96.44	5.8
96.79	4.2

Q60. If the bond currently trades at a price of 96.63 with a yield-to-maturity of 5.0%, the approximate convexity is closest to:

- A. -4.851.
- B. -0.039.
- C. -0.019.

Q61. Which of the following statements best describes the relationship between the net costs of carry and the forward price?

- A. If the costs of carry exceed the benefits, the forward price would be lower
- B. If the costs of carry exceed the benefits, the forward price would be higher
- C. If the benefits exceed the costs of carry, the forward price would be higher

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An analyst observes the fee structure and performance of a hedge fund with \$100 million assets under management at the beginning of the year:

Annual management fee	2%
Incentive fee	20%
Hard hurdle rate	3%

Q62. The annual management fee is based on the year-end valuation, and the incentive fee is calculated net of the management fee. If the fund return before fees is 10% at year end, the total annual fee earned by the fund manager is closest to:

- A. \$3.2 million.

- B. \$3.6 million.
- C. \$3.8 million.

Q63. Short sellers most likely:

- A. sell securities they own.
- B. borrow securities from security lenders.
- C. cannot lose more than their initial investment.

Q64. In the priority of claims, the class of corporate debt that has the lowest priority of payments in the event of default is most likely:

- A. second lien debt.
- B. subordinated debt.
- C. junior subordinated debt.

Q65. Which of the following is an exclusive feature of private equity funds as opposed to hedge funds?

- A. Hurdle rates
- B. Performance fees
- C. Management fees based on committed capital

Q66. The CAPM states that two assets with the same expected return will have the same:

- A. standard deviation.
- B. correlation of returns with the market.
- C. covariance of returns with the market.

Q67. Which of the following statements is most accurate?

- A. The general partner theoretically has limited liability.
- B. Co-investment rights allow the limited partner to make additional direct investments in portfolio companies.
- C. The side letter is a legal document that outlines the rules of the partnership between the general partners and all limited partners.

Q68. A bond that allows the issuer to pay interest in the form of additional amounts of the existing bond issue rather than a cash payment best describes a:

- A. step-up coupon bond.
- B. deferred coupon bond.
- C. payment-in-kind coupon bond.

Q69. A mutual fund that does not have a sales charge to purchase or redeem shares in the fund is best described as a(n):

- A. exchange-traded fund.
- B. open-end fund.
- C. no-load fund.

Q70. An investor buys a stock on margin, posting 60% of the initial \$63.00 per share price as equity. All else being equal, if the investor receives a margin call at \$33.60 per share, the maintenance margin on this trade is:

- A. 12.5%.
- B. 25.0%.
- C. 40.0%.

Q71. Redemption regimes are a feature of:

- A. covered bonds.
- B. auto loan-backed securities.
- C. commercial mortgage-backed securities.

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An investor collects the following information about a put option:

Stock price at initiation	\$110
Strike price	\$105
Option premium	\$4.50

Q72. At expiration, if the price of the stock is \$100, the investor's profit from selling the put is:

- A. -\$0.50.
- B. \$4.50.
- C. \$9.50.

Q73. Which of the following features of an established hedge fund is most likely designed to allow orderly liquidation of positions to meet redemptions?

- A. Notice period
- B. Lockup period
- C. Redemption fee

Q74. Which of the following statements is most accurate? US commercial paper typically:

- A. requires the issuer to pledge collateral.
- B. requires the issuer to have a backup line of credit.
- C. has a maturity ranging from a few days up to two years.

Q75. The binomial option pricing model always:

- A. requires knowledge of the magnitude of possible up and down moves.
- B. requires knowledge of the actual probabilities of possible up and down moves.
- C. enables the construction of a risk-free hedge consisting of one unit of each of the option and the underlying.

Q76. A buy-and-hold investor purchases a fixed-rate bond at issuance and holds it until maturity. With respect to interest rate risk, this investor is exposed to:

- A. market price risk only.
- B. coupon reinvestment risk only.
- C. both market price risk and coupon reinvestment risk.

Q77. If 1,000 shares of stock purchased at \$30 per share on 75% margin are later sold at \$26 per share, the return on equity is closest to:

- A. -17.8%.
- B. -13.3%.
- C. -10.0%.

Q78. Which of the following risk metrics reflects the risk of changes in an option's delta?

- A. Rho
- B. Vega
- C. Gamma

Q79. An investor purchases a 5% coupon bond maturing in 15 years for par value. Immediately after purchase, the yield required by the market increases. The investor would then most likely have to sell the bond at:

- A. par.
- B. a discount.
- C. a premium.

Q80. The Markowitz efficient frontier is best described as the part of the minimum-variance frontier of risky assets that plots:

- A. to the right of the risk-free asset.
- B. above the global minimum-variance portfolio.
- C. above and to the right of the optimal risky portfolio.

Q81. In a declining interest rate environment, an investor would find it most difficult to estimate future cash flows for which of the following bonds with similar maturities?

- A. Puttable bond
- B. Floating-rate bond with a floor
- C. Mortgage pass-through security

Q82. In the investment policy statement of a pension fund, a countrywide limit on the proportion of high-risk assets that can be held in long-term pension portfolios is most likely a:

- A. liquidity constraint.
- B. time horizon constraint.
- C. legal and regulatory constraints.

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An analyst gathers the following information about a hedge fund's fee structure:

Assets under management (AUM), beginning of period	\$80 million
Management fee, based on year-end AUM	2%
Incentive fee	20%

Q83. The management and incentive fees are calculated independently. If the hedge fund generates a gross return of 25%, the assets under management after fees at the end of the period are closest to:

- A. \$94.0 million.
- B. \$94.4 million.
- C. \$97.6 million.

Q84. An analyst calculates the duration of a portfolio containing only fixed-rate bonds, callable bonds, and asset-backed securities. Which duration measure is the most appropriate to use?

- A. Macaulay duration

- B. Effective duration
- C. Modified duration

Q85. A key motivation for adding alternative investments to a portfolio is most likely the:

- A. potential for diversification.
- B. ease of selecting portfolio managers.
- C. high correlation with traditional investments.

Q86. The free-cash-flow-to-equity model:

- A. requires an estimate of future dividend payments.
- B. can be used to value non-dividend paying stocks.
- C. treats non-cash expense in the same manner as cash expense.

Q87. Yield measures for both bonds and money market instruments are most likely:

- A. compounded.
- B. stated in annual terms.
- C. based on simple interest.

Q88. A 6% 25-year bond with semiannual payments has a market price of \$850.00. The yield to maturity of this bond is closest to:

- A. 5.72%.
- B. 7.32%.
- C. 7.91%.

Q89. Which of the following contracts is an example of a contingent claim? A(n):

- A. currency option
- B. interest rate swap
- C. commodity forward

Q90. An index provider launches a new index that will include value stocks in a specific country. This index will most likely be a:

- A. style index.
- B. large-capitalization index.
- C. fundamentally weighted index.

